

# Trading Tactics

[Table 69.10](#) shows trading tactics.

**Measure rule, targets.** I set the left top of the V-bottom as the target. The bottom portion of the table shows that about half of the patterns see price rise to match the start. If you page back to [Figure 69.1](#), I'm talking about the rise at D meeting or exceeding the price of A, which it does.

[Figure 69.2](#), pattern DEF, shows a V-bottom, but this one reaches the measure rule target at G. Pattern ABC on the same chart does not meet the target (price fails to climb up to the price of A).

Bull markets do slightly better than bear markets in reaching the target.

I also include other benchmark points to help indicate how well price rises during a V-bottom. For example, in bull markets, 85% of the patterns will retrace half the drop from the top of the pattern. Slightly less, 70%, will climb to the 66% retrace value. Finally, if you compute the height of the left side of the V-bottom, then take half of it and add it to the top of the V (at the start) for a target, we find that 27% see price climb that far.

When you know what your target will be, take the difference between the distance to the target and the current price. Divide by the current price and compare the result with [Table 69.3](#).

For example, if the target means a rise of \$5 above the breakout price of \$50, that's a 10% move. [Table 69.3](#) says that in bull markets, 31% of V-bottoms will fail to see price rise more than 10%. That also means 69% will see price exceed the target (but you could still lose money by botching the trade).

**Buy location.** Squiggles on a chart become a V-bottom when price retraces at least 38.2% of the way up from the bottom of the pattern. Thus, you can compute where the breakout will be and place a buy stop there.